explanations and clarifications to be received from the clients. It also contains definite information regarding the day-to-day work performed by the audit clerks. In short, audit note book is usually a bound note book in which a large variety of matters observed during the course of audit are recorded. The note book should be maintained clearly, completely and systematically. It serves as authentic evidence in support of work done to protect the auditor against any legal charge initiated against him for negligence. It is of immense help to the auditor in preparing audit report. It also acts as a valuable guide for conducting future audits.

Example:

Following are the queries made in the Audit Note Book:

1. Voucher No.75 Paid towards advertisement expenses for ₹3,50,000.
2. Voucher No.170 Rent paid ₹22,000.
3. Voucher No.98 Material purchased and received in Stores for ₹58,375
4. Voucher No.245 Machinery purchased for ₹7,28,000.

5.2.2 Contents of Audit Note Book

The following matters should have been incorporated in an Audit Note Book.

1. A list of the account books normally used and maintained.
2. Names of the principal officers, their duties and responsibilities.
3. Nature of business carried on and important documents relating to the constitution of business like Memorandum of Association, Articles of Association, Partnership deed etc.,
4. Extracts of minutes and contracts affecting the accounts.
5. Extracts of correspondence with statutory authorities.
6. Copy of audit programme.
7. Accounting methods, internal control and internal check system in operation.
8. Routine queries like missing receipts and vouchers etc.
9. Details of errors and frauds discovered during the course of audit.
10. Points to be included in audit report.
11. Details of all important information to be used as reference for future audits.
12. Date of commencement and completion of audit.

SPECIMEN OF ENTRIES IN AUDIT NOTE BOOK

Voucher	Account Debited	Amount ₹	Query	Solution to Query
75	Advertisement	3,50,000	Managing directors sanction required	Sanction obtained
170	Rent	22,000	Rent bill and receipt required	Receipt and bill obtained
98	Stores	58,375	Invoice required	Copy of invoice obtained
245	Machinery	7,28,000	Board sanction required	Sanction obtained verified with minutes of meeting

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